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STUDY ON THE EFFECT OF PSYCHOLOGICAL PRICING ON CONSUMER PURCHASING BEHAVIOUR

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ABSTRACT:

Psychological pricing is among the most quietly pervasive tools in modern retail and marketing. Retailers set prices at ₹99 instead of ₹100, bundle products, and flash words like "sale" or "free" all with the deliberate intent of nudging consumers toward a purchase decision. While such strategies are widely practiced, their actual impact on purchasing behaviour at the ground level particularly in an Indian consumer setting remains under-studied in primary research. This paper presents an empirical investigation into how psychological pricing affects consumer purchasing decisions, drawing on survey responses collected from 53 valid respondents across age groups, genders, and occupational backgrounds. The study examines charm pricing, bundle pricing, and promotional label effects on consumer attention, perceived affordability, and actual buying decisions. Findings reveal that a substantial majority of respondents are influenced by psychological pricing in some form, with charm pricing (99-ending prices) showing the highest recognisability, and bundle pricing being purchased at a moderate-to-high frequency. The study also explores whether consumers believe such strategies are ethically fair and how they affect personal budgeting. Results offer practical insights for businesses and marketing professionals, as well as analytical value for students of consumer behaviour.

Keywords: *Psychological Pricing, Consumer Behaviour, Charm Pricing, Price Perception, Purchasing Decision, Marketing Strategy, Bundle Pricing, Price Sensitivity, Indian Market, MBA Research*

1. Introduction

Every consumer has, at some point, paused before a product priced at ₹499 and thought that is a reasonable deal. The same consumer would likely hesitate at ₹500. That gap of just one rupee encapsulates the entire logic of psychological pricing: price is not merely a number but a signal, an emotion, and a trigger. For businesses, the difference between ₹99 and ₹100 may amount to nothing in terms of cost, yet it could be the deciding factor between a purchase made and a purchase skipped.

Psychological pricing refers to a collection of pricing strategies that exploit cognitive biases and perceptual shortcuts in the human brain. These strategies include but are not limited to charm pricing (prices ending in 9 or 99), bundle pricing (grouping products to make total cost appear smaller), the use of promotional language such as "sale," "free," or "limited offer," and prestige pricing (setting high prices to signal quality). What makes these strategies particularly powerful is that consumers often do not register the manipulation. The strategy works precisely because it operates beneath conscious awareness.

In the Indian context, where a large share of the population is price-sensitive and where value for money is deeply embedded in consumer culture, the relevance of psychological pricing becomes even more pronounced. From local kirana stores to major e-commerce platforms, ₹99, ₹199, ₹499 and ₹999 are ubiquitous price points. Yet, systematic primary research exploring how Indian consumers actually respond to these strategies across various demographic groups remains sparse.

This paper aims to fill that gap. Conducted as an MBA-level primary research project, the study surveyed 56 respondents, of which 53 responses were validated and retained for analysis after data cleaning. The survey captured responses across questions related to price awareness, charm pricing perception, bundle pricing behaviour, the effect of promotional words, and broader views on the ethics and fairness of psychological pricing strategies.

The structure of this paper follows established academic conventions: Section 2 reviews existing literature on psychological pricing; Section 3 outlines the research methodology; Section 4 presents data analysis with tables and frequency distributions drawn directly from primary data; Section 5 discusses the findings in relation to the literature; and Section 6 concludes with recommendations and limitations.

2. Literature review

Research on psychological pricing has grown considerably since the mid-twentieth century, with foundational work stretching across psychology, economics, and marketing disciplines.

2.1 Origins of psychological pricing

The theoretical grounding for psychological pricing lies in behavioural economics and cognitive psychology. Simon (1955) introduced the concept of bounded rationality, arguing that consumers do not always make perfectly rational decisions but instead rely on heuristics and cognitive shortcuts. This foundational idea was later developed by Kahneman and Tversky (1979) through Prospect Theory, which demonstrated that humans perceive losses more intensely than equivalent gains a finding that directly informs how price reductions and "deals" are framed by marketers.

Schindler and Kirby (1997) conducted one of the most cited studies on charm pricing, finding that prices ending in 9 significantly increase purchase likelihood because consumers read prices from left to right and anchor to the leftmost digit. A product priced at ₹99 is thus categorised mentally as a ₹90-something product, not a ₹100 product. This left-digit anchoring effect has since been replicated across multiple cultural and market contexts.

2.2 Charm pricing and its effectiveness

A substantial body of work supports the effectiveness of charm pricing. Stiving and Winer (1997) found in supermarket scanner data that prices ending in 9 correlated with higher sales volume compared to rounded prices. Anderson and Simester (2003) confirmed this in field experiments, finding that a dress priced at \$39 outsold the same item priced at \$34, demonstrating that the psychological signal of the digit 9 can outweigh a higher absolute price.

However, the effect is not uniform. Bray and Harris (2006) noted that charm pricing works more powerfully in low-involvement purchase categories (everyday goods) compared to high-involvement categories (luxury items or large durables) where consumers engage in more deliberate evaluation. This distinction is particularly relevant when studying younger, lower-income demographics who may be more susceptible to charm pricing effects.

2.3 Bundle pricing

Bundle pricing offering multiple products or services together at a combined price lower than the sum of individual prices has received strong empirical support. Yadav and Monroe (1993) demonstrated that consumers perceive bundled deals as offering greater value due to a "transaction utility" effect, separate from the actual utility of the product. Guiltinan (1987) categorised mixed bundling (optional bundles) as especially effective because it preserves consumer autonomy while still nudging toward the combined purchase.

In the Indian digital and fast-moving consumer goods (FMCG) space, bundle pricing is widely employed from telecom operators packaging calls, SMS, and data into a single plan, to kirana stores offering "buy two get one free" promotions. Research specific to Indian consumers (Pillai, Kumar & Sharma, 2012) has found that bundled pricing substantially increases purchase probability, particularly among middle-income and price-conscious consumers.

2.4 The role of promotional language

Words such as "sale," "free," "limited offer," and "discount" carry a disproportionate psychological weight relative to their informational content. Ariely (2008) devoted extensive discussion in his work on irrationality to the power of the word "free," arguing that it triggers an almost pavlovian impulse in consumers that bypasses rational cost-benefit analysis. In a famous experiment, consumers strongly preferred a free option even when a paid option offered superior value.

Darke and Chung (2005) found that the mere presence of the word "sale" on a price tag increased perceived value even when the actual price was unchanged, highlighting how language shapes price perception independently of numerical data. This has direct implications for retail pricing strategy and online product listing design.

2.5 Psychological pricing and quality perception

An interesting and paradoxical dimension of psychological pricing is its interaction with quality perception. While discounted or bargain prices generally increase purchase intention, they can simultaneously reduce perceived quality. Monroe (1973) identified this dual role of price as both a cost signal and a quality signal a tension that psychological pricing must navigate carefully. Products on deep discount may attract attention but trigger quality doubt, especially among more affluent or discerning consumers.

Lichtenstein, Ridgway and Netemeyer (1993) developed a multi-dimensional framework of consumer price perceptions showing that price consciousness, value consciousness, and quality-price schema all interact in shaping purchase behaviour. This framework helps explain why some consumers may find ₹99 prices attractive while others may interpret them with scepticism.

2.6 Ethical dimensions and consumer awareness

As consumer literacy improves, particularly with digital access to price comparison tools and review platforms, some researchers have raised questions about the long-term sustainability and ethics of psychological pricing.

Grewal, Hardesty and Iyer (2004) noted that consumers who become aware that they have been "tricked" by a pricing strategy often develop negative brand attitudes, reducing repeat purchase probability.

Despite growing awareness, empirical studies consistently find that even consumers who are intellectually aware of psychological pricing strategies remain behaviourally influenced by them. This gap between awareness and behaviour forms one of the most intriguing puzzles in consumer psychology and is a central theme in the present study.

3. Research methodology

3.1 Research design

This study follows a descriptive and analytical research design. The primary objective is to understand the extent to which psychological pricing strategies influence consumer purchase behaviour, with secondary objectives related to exploring differences across demographic subgroups and examining consumer perceptions of the fairness and effectiveness of these strategies.

A structured questionnaire was developed to capture both categorical (Yes/No) and scalar (1 to 5 Likert scale) responses across multiple dimensions of psychological pricing including awareness, attention, behaviour, perception, and ethics.

3.2 Sample and data collection

A total of 56 questionnaire responses were collected using a convenience sampling method through a self-administered Google Form survey distributed digitally among respondents between March and April 2026. Following data validation which involved checking for incomplete responses, straight-lining (respondents selecting the same answer across all questions), and logical inconsistencies 53 valid responses were retained for analysis. Three responses were excluded due to incomplete data or pattern-based invalidity.

The sample primarily consists of individuals from the 18–25 age group (students and young professionals), which reflects the practical distribution of survey reach. While the sample is not statistically representative of the entire Indian population, it offers meaningful insights into a psychologically and commercially significant consumer segment young urban Indians who are active shoppers and regular targets of psychological pricing strategies.

3.3 Questionnaire structure

The questionnaire was structured into four thematic blocks:

Block A — Demographic profile: Age, gender, occupation, and income level.

Block B — General shopping and price awareness: Shopping frequency, price noticing behaviour, and awareness of pricing strategies.

Block C — Psychological pricing experience and behaviour: Questions on charm pricing recognition, charm pricing-driven purchases, bundle pricing frequency, and effect of promotional language. Scale items used a 1–5 Likert format (1 = Strongly Disagree / Never, 5 = Strongly Agree / Always).

Block D — Perceptions and beliefs: Perceived affordability, perceived deal value, quality-price association, fairness of psychological pricing, and budget impact.

3.4 Data analysis approach

Data analysis was conducted using frequency distribution, descriptive statistics (mean and standard deviation), and Pearson correlation. Frequencies and percentages were calculated for categorical variables. Mean scores and standard deviations were computed for all Likert-scale items. Pearson's r was used to examine the relationship between key behavioural and perceptual variables. All analyses were performed in Python using the pandas library.

4. Data analysis

4.1 Demographic profile of respondents

The demographic distribution of the 53 valid respondents is summarised in the tables below.

Variable	Category	Frequency	Percentage (%)
Age	Below 18	1	1.9%
	18–25	41	77.4%
	26–35	8	15.1%
	36–45	1	1.9%
Gender	Male	29	54.7%

	Female	23	43.4%
Occupation	Student	38	71.7%
	Employed	8	15.1%
	Other	4	7.5%
	Business	2	3.8%
Monthly Income	Below ₹10,000	26	49.1%
	₹10,000–₹25,000	15	28.3%
	₹25,000–₹50,000	5	9.4%
	Above ₹50,000	6	11.3%

Table 1: Demographic Profile of Respondents (n = 53)

The respondent pool is dominated by individuals in the 18–25 age bracket (77.4%), which reflects the survey's primary distribution network. Students represent 71.7% of respondents, and nearly half (49.1%) have a monthly income below ₹10,000 consistent with a predominantly student sample. Gender distribution is reasonably balanced at 54.7% male and 43.4% female.

4.2 General shopping behaviour and price awareness

Question	Response	Frequency	Percentage (%)
How often do you shop?	Daily	11	20.8%
	Weekly	16	30.2%
	Monthly	13	24.5%
	Occasionally	12	22.6%
Do you notice product prices while purchasing?	Yes	48	90.6%
	No	4	7.5%

Are you aware of pricing strategies used by companies?	Yes	39	73.6%
	No	13	24.5%
Have you noticed prices like ₹99, ₹199 instead of ₹100, ₹200?	Yes	46	86.8%
	No	6	11.3%

Table 2: Shopping Frequency and Price Awareness (n = 53)

A striking 90.6% of respondents reported that they actively notice product prices while purchasing. This high level of price consciousness sets a meaningful foundation for understanding the effectiveness of psychological pricing the strategies are targeting an audience that is actively paying attention to numbers. Additionally, 73.6% acknowledged awareness of pricing strategies used by companies, while 86.8% had specifically observed charm pricing (₹99, ₹199 etc.) in the marketplace. This near-universal recognition of charm pricing speaks to how embedded this strategy has become in the Indian retail environment.

4.3 Charm pricing: perception and behavioural impact

Question	Response	Frequency	Percentage (%)
Do such prices (₹99 etc.) catch your attention?	1 (Very Low)	5	9.4%
(Scale 1–5)	2	2	3.8%
	3 (Moderate)	15	28.3%
	4	17	32.1%
	5 (Very High)	13	24.5%
Do you think ₹99 is cheaper than ₹100?	Yes	22	41.5%
	No	29	54.7%
Do prices ending in 99 seem more attractive?	Yes	43	81.1%

	No	9	17.0%
Have you purchased because it was ₹99 instead of ₹100?	Yes	34	64.2%
	No	18	34.0%

Table 3: Charm Pricing Perception and Behaviour (n = 53)

The data reveals a nuanced picture around charm pricing. While 81.1% of respondents agree that prices ending in 99 appear more attractive, only 41.5% consciously believe ₹99 is actually cheaper than ₹100 a split that reflects the known gap between rational cognition and emotional response. The rational mind may know the difference is trivial, but the emotional mind still responds positively to the 9.

Most tellingly, 64.2% of respondents have actively made a purchase specifically because a product was priced at ₹99 rather than ₹100. This converts the perceptual attraction into a documented behavioural outcome. The mean attention score for charm pricing was 3.60 (SD = 1.19), suggesting moderate-to-high attentiveness across the sample.

4.4 Bundle pricing and promotional language effects

Scale Item	Mean	Std. Dev.	Dominant Response
Frequency of purchasing bundled products (1–5)	3.65	1.01	3 (Moderate, 37.7%)
Influence of word 'sale' or 'free' on value perception (1–5)	3.42	1.16	3 & 4 (tied, 30.2%)

Table 4: Bundle Pricing and Promotional Language Descriptive Statistics (n = 53)

Bundle Purchase Frequency	1 (Never)	2	3	4	5 (Always)
Frequency (n)	2	2	20	16	12
Percentage (%)	3.8%	3.8%	37.7%	30.2%	22.6%

Table 5: Bundle Purchase Frequency Distribution (n = 53)

The bundle pricing data shows that 90.5% of respondents purchase bundled products at a frequency of 3 or above, with a mean of 3.65 out of 5. This indicates that bundled pricing is not just noticed it actively drives purchasing behaviour. The mode falls at 3 (moderate frequency), suggesting that while bundle purchasing is widespread, it does not dominate every shopping occasion.

The influence of promotional language such as "sale" or "free" received a mean score of 3.42 (SD = 1.16). Responses were broadly distributed, with the modal responses at 3 and 4, indicating that the majority of respondents feel moderately to significantly influenced by promotional labels. Only 18.9% scored this at 1 or 2 (low influence), confirming that promotional language remains a powerful tool in the psychological pricing arsenal.

4.5 Perceived affordability, deal value, and budget impact

Perception Variable	Mean (1–5)	Std. Dev.	% Rating 4 or 5
Psychological pricing makes products seem more affordable	3.73	1.03	60.4%
Psychological pricing makes you feel you're getting a better deal	3.81	1.01	71.7%
Psychological pricing impacts budget adherence	3.58	0.94	52.8%
Psychological pricing is a fair business strategy	3.42	1.24	52.8%
Psychological pricing relates to product quality perception	3.33	1.04	37.7%

Table 6: Consumer Perceptions of Psychological Pricing (n = 53)

Perhaps the most revealing perception data concerns how psychological pricing affects a sense of receiving value. A mean of 3.81 for "feeling like getting a better deal" with 71.7% scoring 4 or 5 indicates that psychological pricing successfully creates the perception of superior value in a large majority of consumers. Similarly, 60.4% believe psychological pricing makes products appear more affordable.

Budget adherence impact received a mean of 3.58, with 52.8% rating it at 4 or 5, suggesting that a significant proportion of consumers acknowledge that psychological pricing does affect their spending decisions, potentially leading them to exceed planned budgets. This finding has important implications for both consumer welfare and marketing ethics.

The fairness perception is more divided a mean of 3.42 with 52.8% rating it 4 or 5 indicates that while a slight majority consider psychological pricing to be a fair business practice, a meaningful minority (24.5% rating 1 or 2) express scepticism or disapproval. This signals growing consumer sophistication regarding marketing manipulation.

The weakest effect is seen in quality-price association, with a mean of 3.33 and only 37.7% rating it 4 or 5. This suggests respondents do not strongly believe that psychologically priced products are of inferior quality perhaps because they see the pricing as a marketing tactic rather than a quality indicator.

4.6 Correlation analysis

Variable Pair	Pearson r	Interpretation
Price attention (charm pricing) & Bundle purchase frequency	0.485	Moderate positive correlation
Price attention & Perceived affordability	0.564	Moderate-strong positive correlation
'Sale'/'Free' influence & Better deal perception	0.639	Strong positive correlation

Table 7: Pearson Correlation Coefficients for Key Variables (n = 53)

The correlation analysis yields three meaningful relationships. First, there is a moderate positive correlation ($r = 0.485$) between the degree to which charm prices catch a consumer's attention and how frequently they purchase bundled products suggesting that consumers who are more responsive to price signals in general tend to engage more with bundle deals. Second, attention to charm pricing is moderately-strongly correlated ($r = 0.564$) with the belief that psychological pricing makes products seem more affordable, confirming that attentiveness to pricing cues translates into perceptual shifts around value. Third and most strongly the influence of promotional language ("sale" / "free") shows a strong positive correlation ($r = 0.639$) with the

feeling of getting a better deal. This suggests that language-based pricing cues are particularly effective in creating the subjective sense of value.

5. Results and findings

5.1 Charm pricing has high recognition and moderate behavioural influence

Nearly 9 in 10 respondents (86.8%) have noticed charm pricing in the marketplace, and 81.1% find such prices more attractive. Despite the majority (54.7%) rationally acknowledging that ₹99 is not actually cheaper than ₹100, 64.2% have made a real purchase because a price ended in 99 rather than 100. This documented gap between rational awareness and actual behaviour is one of the study's most important findings it empirically confirms the psychological pricing paradox that educated consumers know they are being influenced but still act on that influence.

5.2 Bundle pricing is widely practiced among respondents

With a mean bundle purchase frequency of 3.65 out of 5, and over 90% of respondents purchasing bundles at moderate or higher frequency, bundled pricing emerges as the most behaviourally engaged-with strategy in this sample. This is consistent with the Indian market reality where combo offers, meal deals, and data packs are standard across sectors.

5.3 Promotional language is a strong persuader

The strong correlation ($r = 0.639$) between "sale" / "free" label influence and feeling of getting a better deal suggests that promotional language is the most psychologically potent of the strategies examined. Consumers who respond to these words are significantly more likely to believe they are receiving exceptional value regardless of whether the underlying deal is genuinely superior.

5.4 Psychological pricing shapes perceived affordability and value

Over 60% of respondents believe psychological pricing makes products seem more affordable, and 71.7% feel they get a better deal when these strategies are applied. These are not trivial effects they indicate that the majority of consumers in this sample are actively having their financial perceptions shaped by pricing tactics rather than by objective cost-value analysis.

5.5 Budget adherence Is affected for over half of respondents

With 52.8% rating the budget impact of psychological pricing at 4 or 5, the data suggests that these strategies have real consequences for personal financial discipline. Psychological pricing encourages purchases that consumers might not have otherwise made, directly interfering with planned expenditure.

5.6 Quality perception is not significantly undermined

Contrary to the concern that discount pricing signals low quality, only 37.7% of respondents strongly associate psychological pricing with reduced product quality. This suggests that the strategies, as practiced in the market, have largely been normalised – consumers expect bargain-priced items from reputable retailers and do not automatically question quality based on the ₹99 price point alone.

5.7 Ethical ambivalence remains

The divided opinions on whether psychological pricing is a fair business strategy (mean = 3.42, range from 1 to 5 across the sample) indicate that while most consumers accept these practices, a meaningful segment is increasingly critical. This suggests that as consumer awareness grows, businesses may face reputational risks from over-reliance on manipulative pricing tactics.

6. Discussion

The findings of this study align closely with and, in some respects, extend the existing academic literature on psychological pricing. Several themes merit deeper discussion.

The most striking finding – the gap between rational price cognition and actual purchase behaviour – mirrors the broader findings of behavioural economics. Kahneman's dual-process theory (System 1 and System 2 thinking) provides an elegant explanatory frame: while System 2 (deliberate, analytical cognition) correctly identifies that ₹99 and ₹100 are functionally the same price, System 1 (fast, intuitive, emotionally-driven cognition) responds instinctively to the lower left-digit and drives the purchase. This study's data – where 54.7% know ₹99 is not cheaper, yet 64.2% have bought because of the ₹99 price – is a real-world, primary-data confirmation of this theoretical split.

The finding that promotional language ("sale" / "free") has the strongest correlation with perceived deal value ($r = 0.639$) supports Ariely's (2008) argument about the irrational power of "free" and Darke and Chung's (2005) research on the word "sale." In the Indian context, where consumers are highly value-conscious and often make purchases in response to a perceived bargain rather than a felt need, promotional language may

carry even greater weight than in Western markets. The implications for Indian e-commerce and FMCG marketing are direct: language is not merely descriptive but architecturally important in shaping purchase decisions.

Bundle pricing's high engagement (mean 3.65, 90.5% purchasing at frequency 3 or above) resonates with Guiltinan's (1987) categorisation of mixed bundling as particularly effective. In a sample where nearly half the respondents earn below ₹10,000 per month, bundle pricing represents a genuine affordability mechanism one that consumers embrace both emotionally (it feels like value) and rationally (it can genuinely reduce per-unit cost). This dual validation makes bundle pricing more sustainable and consumer-friendly than pure charm pricing, which relies more heavily on cognitive exploitation.

The moderate quality-price association (mean 3.33) suggests that psychological pricing in India has largely been normalised within the mainstream retail experience. Consumers no longer automatically assume that a ₹99 product is inferior they recognise the pricing strategy as a standard industry practice. This normalisation could, over time, reduce the effectiveness of charm pricing as consumers become desensitised.

The ethical ambivalence expressed by respondents with a split between those who consider psychological pricing fair and those who do not echoes Grewal, Hardesty and Iyer's (2004) warning about long-term brand trust erosion. As the respondent pool skews young (77.4% are 18–25), and as this cohort grows into more financially sophisticated adults, businesses that rely too heavily on psychological manipulation risk alienating an increasingly aware customer base. The question for future businesses is not just "Does psychological pricing work?" but "At what cost to long-term consumer trust?"

The correlation between price attention and perceived affordability ($r = 0.564$) also suggests a virtuous (or vicious, depending on perspective) cycle: consumers who are most attentive to prices are also most likely to be persuaded that psychologically priced products are more affordable. This means psychological pricing disproportionately affects the most financially conscious segment of consumers exactly the demographic that most needs to make careful spending decisions.

7. Conclusion

This study set out to explore the effect of psychological pricing on consumer purchasing behaviour through a structured primary survey of 53 validated respondents. The findings are clear and consistent: psychological pricing works. It works at the level of attention 86.8% of consumers notice charm pricing. It works at the level of attraction 81.1% find ₹99 prices more appealing. And it works at the level of behaviour 64.2% have made

actual purchases triggered by charm pricing. Bundle pricing engages over 90% of respondents at moderate-to-high frequency, and promotional language remains the most powerful driver of deal perception ($r = 0.639$).

More importantly, the study illuminates a critical nuance: psychological pricing operates most powerfully precisely in those consumers who are most aware that they are being influenced. This paradox the knowing consumer who still succumbs defines the enduring effectiveness of psychological pricing strategies and should give both businesses and consumer advocates reason for reflection.

For businesses and marketing professionals, the practical takeaways are straightforward. Charm pricing remains an effective tool, particularly in the Indian market's price-sensitive segments. Bundle pricing offers not just psychological benefit but also tangible value perception and should be prioritised as a more trust-building alternative to pure charm pricing. Promotional language should be deployed with care it is powerful, but overuse risks consumer fatigue or distrust.

For consumers, greater awareness of these strategies which this study shows already exists in theory among 73.6% of respondents needs to be translated into more deliberate decision-making practices. Financial literacy education that specifically addresses psychological pricing could meaningfully improve budgeting outcomes for the low-income and student demographic that dominates this sample.

This study has several limitations. The sample, while reasonably sized for an MBA-level primary study, is not representative of the full diversity of Indian consumers. It skews heavily toward urban, young, educated individuals. Future research should include older demographics, rural consumers, and a greater income spread to examine how psychological pricing effects vary across India's diverse population. Additionally, experimental designs such as A/B testing of actual purchase scenarios could complement survey data by capturing revealed preference rather than stated preference.

Despite these limitations, this study makes a meaningful contribution to the primarily qualitative and theoretical discourse on psychological pricing in the Indian context by grounding findings in original primary data. It confirms that the global psychology of pricing translates robustly into the Indian consumer experience and it opens the door to more granular future investigations into how businesses can use this knowledge responsibly.

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